

AMTELECOM GROUP INC.

1.0 Executive Summary

The Amtelecom Group Inc. case focuses on the strategic decisions faced by Stanley Stewart, the President and CEO, as he seeks to increase shareholder value amidst challenging circumstances. AGI, a diversified company with both communications and courier services, has faced setbacks including a failed IPO and unsuccessful sale attempts. The board determined that the current business combination was sub-optimal and decided to focus on maximizing the value of the communications business.

Stewart is considering several strategic options to achieve the company's goals, including selling the communications business to a strategic buyer, initiating a public offering through common shares, or an income trust IPO. The chosen strategy must ensure the retirement of current bank debt, payment of dividends to shareholders, and adequate capital for the remaining courier business. National Bank Financial was retained to help analyze these options.

2.0 Evaluation of AGI's Strategic Decision to Break Up the Company and sell the communication business

AGI's decision to break up the company seems strategically sound given the challenges it was facing. The company experienced a failed IPO, an unsuccessful private sale process, and its shares were trading at a significant discount. The diversification into both communications and courier services had proven sub-optimal, with cash being diverted from the potentially profitable communications business to cover losses in the courier division.

Selling the communications business instead of the courier business can be justified based on a few key points:

1. **Maximization of Value:** The communications business, comprising telecommunications, Internet, and cable services, had stable cash flows and growth potential. Selling this business could fetch a higher valuation, providing immediate funds to pay down debt, distribute dividends, and support the courier business.

2. **Strategic Focus:** The courier business, although facing strong competition and technological threats, could benefit from a more focused approach post-sale. By divesting the communications division, AGI could streamline operations and potentially turn the courier business around.
3. **Market Conditions:** At the time, the telecommunications industry had growth prospects and was attracting interest from strategic buyers. This made it a favorable time to sell the communications business at a potentially higher valuation

However, this decision does involve risks, such as the potential loss of a stable revenue source and the challenge of reviving a struggling courier business. Yet, given AGI's circumstances, breaking up the company and selling the communications business seems like a calculated move to unlock shareholder value.

3.0 Key Success Factors in the Communications Industry and Amtelecom Communications' SWOT Analysis

The communications industry is capital-intensive and highly competitive, with rapid technological advancements requiring constant upgrades and innovation. Several key success factors determine a company's ability to thrive in this industry:

1. **Technological Innovation:** Communications providers must continuously invest in new technologies to meet consumer demands. For example, the rollout of high-speed internet and digital services is crucial for maintaining competitiveness. Amtelecom Communications had invested in a bi-directional broadband network that allowed it to offer high-speed internet and digital cable services in its market.
2. **Regulatory Compliance and Adaptation:** The telecommunications industry is heavily regulated by bodies such as the Canadian Radio-television and Telecommunications Commission (CRTC). Amtelecom Communications was subject to regulations like the price-cap regime, which limited its ability to raise prices. Companies that can navigate these regulations and find ways to optimize their pricing strategies while remaining compliant will be more successful.

3. **Customer Loyalty and Market Penetration:** High customer penetration rates and brand loyalty are essential for generating stable revenue streams. Amtelecom Communications had strong market penetration in its local markets, with a 69% penetration rate for cable TV services and an 84% penetration rate for premium channel packages. Building strong customer relationships and offering bundled services (e.g., telephone, internet, and cable) can further enhance customer loyalty.

Strengths and Weaknesses of Amtelecom Communications

Amtelecom Communications had several notable strengths:

1. **Market Leadership:** Amtelecom was a leading provider of communications services in Southwestern and Central Ontario. It operated as a regulated monopoly in several regions, ensuring steady demand for its services. The company's strong market presence provided it with a stable customer base and predictable cash flows.
2. **High Service Penetration:** Amtelecom had achieved high penetration rates for its services, especially in cable television and premium channel offerings. Its strong local presence and the bundling of services helped it maintain its competitive edge.
3. **Integrated Operations:** Amtelecom had centralized its operations, allowing it to reduce costs and improve efficiency. By cross-marketing its services, it could offer customers a one-stop-shop solution for telecommunications, internet, and cable services.

However, Amtelecom Communications also had significant weaknesses:

1. **Capital Constraints:** The company faced capital shortages due to the financial demands of supporting ICS Courier. These constraints limited its ability to invest in necessary infrastructure upgrades and new technologies. The price-cap regime further restricted its revenue growth, making it difficult to fund future expansion.
2. **Regulatory Pressure:** Amtelecom was subject to strict regulations, including the CRTC's price-cap regime and mandates such as the SIP, which required it to invest in rural service improvements. These regulations placed a heavy financial burden on the company, limiting its ability to raise prices and increasing its capital expenditure requirements.

3. **Geographic Limitations:** Amtelecom Communications operated in a relatively small geographic area, which limited its growth potential. Expanding into new regions would require significant investment, which the company could not afford given its capital constraints.

4.0 Valuation of Amtelecom Communications Using the DCF Approach

Our valuation of Amtelecom Communication using the Discounted Cash Flow (DCF) approach resulted in an Enterprise Value of \$108,914 and an Equity Value of \$103,683.85.

4.1 Assumptions Used in the Valuation Process

Assumptions in the DCF Valuation

The implied share price of Amtelecom Communication, based on our DCF valuation, is \$8.72 We forecast Free Cash Flows (FCFs) using data on revenue, operating costs, amortization, charges from the parent company, capital expenditures, and other relevant factors. The key assumptions used are as follows:

- **Telecommunications Revenue Growth:** 0.75% annually until 2005, then 1.5% annually.
- **Cable Revenue Growth:** 2% annually.
- **Internet Revenue Growth:** 10% annually until 2005, then 5% annually.
- **EBITDA Margins:** Maintained at 53.10% (2002 levels) until 2005, with a subsequent 0.5% improvement.
- **Capital Expenditures:** \$3 million annually.
- **Tax Rate:** Canadian corporate tax rate of 44%.
- **Operating Expenses, Charges from Parent Company, Amortization, and Changes in Networking Capital:** Forecasted using the average growth rate.

Weighted Average Cost of Capital (WACC)

To calculate WACC, we used the average beta and debt-to-equity ratio of comparable companies as proxies for Amtelecom Communication. The risk-free rate was based on the 10-year Government of Canada Treasury bond yield, which is 5.28%. The market risk premium was calculated using the historical average annual return of the 10-year Government of Canada Treasury bond of 9.01%, minus the risk-free rate, resulting in a premium of 3.73%. The cost of debt was determined using the current market interest rate for similar notes at 8.51% per annum. Our calculations produced an after-tax cost of debt of 5% and a cost of equity of 7.4%, leading to a WACC of 7 %.

Terminal Value and Present Value of FCFs

The terminal value was calculated using the formula: $\text{Final Year FCF} \times (1 + g) / (WACC - g)$, where "g" represents the long-term growth rate of the Canadian economy at 3%. Each FCF was discounted back to its present value using the WACC of 7.0%

Appendices

Appendix 1: DCF

Valuation of Amtelecom Communication Inc

Weighted Average Cost of Capital	
Equity (000s)	29,884.30
Debt (Short-term and Long-term) (000s)	5,273.70
After Tax Cost of Debt	5%
Tax Rate	44%
D/(D+E)	0.15
Risk Free Rate (10-Yr Treasury Yield)	5.28%
Expected Market Return	9.01%
Amtelecom Communication Unlevered Beta	0.52
Amtelecom Communication's Target D/E Ratio	0.172
Amtelecom Communication levered Beta	0.57
E/(D+E)	0.85
Cost of Equity	7.41%
WACC	7.0%

Unlevered Free Cash Flow (\$000s)									
Fiscal Year	1999A	2000A	2001A	2002A	2003E	2004E	2005E	2006E	2007E
Unlevered Free Cash Flow					1,968	3,860	4,771	4,696	5,074
Projection Year					1	2	3	4	5
Present Value of Free Cash Flow					1,839	3,371	3,893	3,580	3,615
Sum of PV of FCF	16,297								
Growth Rate	3%								
WACC	7.0%								
Terminal Value	130,020.18								
PV of Terminal Value	92,616.85								
Enterprise Value	108,914								
(+) Cash	44								
(-) Debt	5,273.70								
(-) Minority Interest									
Equity Value	103,683.85								
Diluted Shares Outstanding (mm)	11,894.73								
Implied Share Price	8.72								

Appendix 2: FCF

Unlevered Free Cash Flow (\$000s)									
Fiscal Year	1999A	2000A	2001A	2002A	2003E	2004E	2005E	2006E	2007E
Revenue									
Telecommunications	\$16,004	\$16,648	\$18,047	\$13,678	\$13,780.59	\$13,883.94	\$13,988.07	\$14,197.89	\$14,410.86
Cable Television	\$2,886	\$2,881	\$2,783	\$2,011	\$2,051.22	\$2,092.24	\$2,134.09	\$2,176.77	\$2,220.31
Internet	\$376	\$505	\$716	\$756	\$831.60	\$914.76	\$1,006.24	\$1,056.55	\$1,109.38
	\$19,266	\$20,034	\$21,546	\$16,445	\$16,663	\$16,891	\$17,128	\$17,431	\$17,741
Expenses									
Operating	\$8,047	\$8,718	\$9,358	\$7,258	\$7,094.45	\$6,934.59	\$6,778.33	\$6,625.59	\$6,476.30
Charges from Parent Company (Notes1)	\$970	\$1,625	\$834	\$450	\$409.22	\$372.13	\$338.40	\$307.73	\$279.84
EBITDA	\$10,249	\$9,691	\$11,354	\$8,737	\$9,160	\$9,584	\$10,012	\$10,498	\$10,984
Amortization	\$4,025	\$4,314	\$3,981	\$3,267	\$3,456.49	\$3,656.96	\$3,869.07	\$4,093.47	\$4,330.89
EBIT	\$6,224	\$5,377	\$7,373	\$5,470	\$5,703	\$5,927	\$6,143	\$6,404	\$6,654
EBIT*(1-t)	\$3,485	\$3,011	\$4,129	\$3,063	\$3,194	\$3,319	\$3,440	\$3,586	\$3,726
Depreciation and Amortization	\$4,025	\$4,314	\$3,981	\$3,267	\$3,456	\$3,657	\$3,869	\$4,093	\$4,331
Gross CF	\$7,510	\$7,325	\$8,110	\$6,330	\$6,650	\$6,976	\$7,309	\$7,680	\$8,057
CAPEX					\$3,000	\$3,000	\$3,000	\$3,000	\$3,000
WC					(\$2,546)	(\$2,431)	(\$2,893)	(\$2,909)	(\$2,927)
d(WC)					\$1,683	\$116	(\$462)	(\$17)	(\$17)
Unlevered Free Cash Flow					\$1,968	\$3,860	\$4,771	\$4,696	\$5,074

Assumptions									
Fiscal Year	1999	2000	2001	2002	2003	2004	2005	2006	2007
Revenue Growth									
Telecommunications					0.75%	0.75%	0.75%	1.50%	1.50%
Cables					2%	2%	2%	2%	2%
Internet					10%	10%	10%	5%	5%
EBITDA Margin					53.10%	53.10%	53.10%	53.60%	53.60%
Capex					\$3,000	\$3,000	\$3,000	\$3,000	\$3,000
Expenses									
Operating		8.34%	7.34%	-22.44%	-2.25%	-2.25%	-2.25%	-2.25%	-2.25%
Charges from Parent Company		68%	-48.68%	-46.04%	-9%	-9%	-9%	-9%	-9%
Amortization		7.18%	-7.72%	17.94%	5.80%	5.80%	5.80%	5.80%	5.80%

Appendix 3: Comparable companies

Amtelecom Communication Comparable Companies				
	BCE 2001	TELUS 2001	Aliant 2001	Manitobatel 2001
Revenue	19340	7081	2602	1003
Beta	0.9	0.73	0.73	0.5
Net Debt	12380	8500	1219	485
Equity	24022	3752	3735	2231
Debt to Equity Ratio	0.52	2.27	0.33	0.22
Unlevered Beta	0.70	0.32	0.62	0.45

Appendix 5: Net Working Capital

Net Working Capital								
Fiscal year	2000A	2001A	2002A	2003E	2004E	2005E	2006E	2007E
Cash	\$ -	\$ -	\$44	\$88	\$132	\$176	\$220	\$264
Account Receivable	\$1,803	\$1,770	\$1,466	\$1,743.60	\$1,875.19	\$1,431.24	\$1,450.25	\$1,470.05
Supplies And Prepaid Expenses	\$190	\$251	\$203	\$185.95	\$188.49	\$191.14	\$194.52	\$197.97
Current Assets	1,993.00	2,021.00	1,713.00	2,017.55	2,195.68	1,798.38	1,864.77	1,932.02
Current Liabilites								
Bank Overdraft	\$9	\$146	\$ -	\$-	\$-	\$-	\$-	\$-
Accounts Payable and Accured Liabilites	\$1,452	\$1,494	\$2,389	\$1,594.63	\$1,616.40	\$1,639.12	\$1,668.10	\$1,697.70
Income and Other bTaxes Payable	\$2,901	\$3,602	\$3,376	\$2,873.17	\$2,912.40	\$2,953.34	\$3,005.56	\$3,058.89
Note Payable to parent company (Note 2)	\$ -	\$ -	\$-	\$-	\$-	\$-	\$-	\$-
Current portion of long-term debt	\$68	\$68	\$177	\$96.17	\$97.48	\$98.85	\$100.60	\$102.38
Current Liabilites	\$4,430	\$5,310	\$5,942	\$4,564	\$4,626	\$4,691	\$4,774	\$4,859
Networking Capital	(\$2,437)	(\$3,289)	(\$4,229)	(\$2,546)	(\$2,431)	(\$2,893)	(\$2,909)	(\$2,927)
Changes in Networking Capital		(\$852)	(\$940)	\$1,683	\$116	(\$462)	(\$17)	(\$17)
Assumptions								
Fiscal year	2000A	2001A	2002A	2003E	2004E	2005E	2006E	
Days Sales Outstanding (DSO)	32.8	30.0	32.5	31.8	31.8	31.8	31.8	
Supplies and Prepaid Expenses as a percentage of Revenue	0.009	0.012	0.012	0.011	0.011	0.011	0.011	
Days Payable Outstanding (DPO)	26.45	25.31	53.02	34.93	34.93	34.93	34.93	
Income and Other bTaxes Payable as % of Revenue	0.14	0.17	0.21	0.17	0.17	0.17	0.17	
Note Payable to parent company (Note 2)	0%	0%	0%	0%	0%	0%	0%	
Current portion of long-term debt as % of Revenue	0.003	0.003	0.011	0.006	0.006	0.006	0.006	